

Delinquent History of a Fictitious Auto Loan Owner: Customer #2947620

Introduction Customer #2947620 is a 36-year-old restaurant manager living in Birmingham, Alabama. In April 2021, he financed a mid-sized sedan through Dixie Valley Auto Finance. The loan totaled \$23,400 with a six-year term and a 7.2% interest rate. This document outlines his payment behavior, financial struggles, delinquency pattern, and eventual resolution.

Strong Loan Start From April 2021 through January 2023, Customer #2947620 maintained a flawless payment record. His monthly payment of \$385 was supported by stable employment and occasional catering income. During this period, his credit score rose from 654 to 680.

Hospitalization and Income Loss In February 2023, the customer was hospitalized for complications from pneumonia, resulting in three weeks away from work. His short-term disability covered only 60% of his income. He missed the February payment but contacted Dixie Valley Auto Finance promptly. The lender granted a one-month deferment.

Rising Financial Stress Upon returning to work, he faced: - Increased medical bills - Reduced catering income - Higher utility costs - Credit card balances nearing limits

He continued making payments through March and April but struggled to keep up. By June 2023, he missed two consecutive payments, placing his account 45 days delinquent.

Temporary Hardship Plan In July 2023, the lender approved a hardship modification: - Three months of \$240 payments - Interest and remaining balance deferred - Account marked as "temporary hardship – approved"

The customer complied initially, but a second medical issue in September led to missed shifts and inconsistent pay. He missed September and October payments, pushing the account to 60+ days delinquent.

Job Instability In November 2023, the restaurant underwent a management restructuring. His hours were cut significantly, reducing his monthly income by 30%. Attempts to find supplemental work were unsuccessful due to ongoing health concerns.

By December 2023, he was 90+ days delinquent. Lender outreach attempts were met with sporadic contact. The customer expressed willingness to resolve the account but lacked capacity to commit to a new plan.

Repossession After 120 days of non-payment, Dixie Valley Auto Finance authorized repossession in January 2024. The vehicle was recovered in February.

Auction Results and Deficiency The sedan sold for \$10,600 at auction. After interest and fees, the deficiency balance totaled \$4,820. Required notices were issued outlining available settlement and repayment options.

Settlement Negotiation In April 2024, Customer #2947620 secured a new position as an assistant kitchen manager with more stable hours. He contacted the lender to negotiate a settlement: - \$2,000 paid over 12 months - Remaining deficiency forgiven upon completion

He completed all payments in March 2025. His credit report now reflects: "Settled – Less Than Full Balance."

Analysis and Lessons Learned Customer #2947620's delinquency was driven by: - Medical emergencies and related expenses - Job instability during restaurant restructuring - Reduced supplemental income - High-interest credit card debt

Dixie Valley Auto Finance followed appropriate procedures, offering payment extensions, hardship modifications, and a reasonable settlement aligned with his circumstances.

Conclusion This case highlights how sudden medical events, combined with job instability, can push otherwise reliable borrowers into delinquency. Compassionate communication and flexible financial solutions can help borrowers reach successful resolutions.